

MSC pitch deck

PITCH — MSC — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION): No position into the Aug-13 earnings print; the “undamaged business, panicked sellers” thesis is dead on primary data — re-enter only through the post-print volume gate below.

What we believe

Studio City (MSC, the Macau casino resort, \$1.81, down 73% from its 52-week high) is **not** the mispriced, fundamentally-undamaged stock our original brief claimed. The court broke the thesis on primary data:

- The headline Q1 “beat” (+14.5% year-over-year cash earnings) was **table luck, not business strength**. The casino kept 36.9% of what mass-market gamblers put on the table this Q1 versus 32.8% a year ago — both far from the ~34% long-run norm, in opposite directions. Adjusting both quarters to normal luck, Q1 earnings were **down roughly 13%**, not up 14.5%.
- Worse, the volume itself is shrinking: mass-market table drop was **\$901.3M vs \$923.9M a year ago (-2.4%)** while the overall Macau market grew ~7% ([Q1 2026 earnings release](#)). The company is losing share on volume; luck masked it.
- The equity is a thin sliver on a big debt stack: ~\$349M market cap against ~\$1.94B net debt (~6.4x annual cash earnings). At that leverage, about 6.4 years of current earnings just covers the debt — and the casino license expires **2032-12-31**. Much of the equity’s value is an option on license renewal, on terms the Macau government sets. The 2022 retender kept all six incumbents, so the option is worth something — but it is not decidable this week.

What we’d still own: a levered recovery instrument **if** the business proves it can grow volume, not luck. That is a post-print question.

What the market believes

The market is treating MSC as a levered stub of a decelerating Macau: Morgan Stanley [cut its 2026 Macau revenue and industry earnings forecasts](#), Jefferies cut 2026 as well, and July market revenue fell 8.4% year-over-year. At 6.4x leverage, a ~10% cut to earnings estimates at an unchanged multiple mechanically takes out on the order of 60% of the equity — which is roughly the excess drawdown we saw. Our brief called the sell-off “self-sustaining flow, not analysis.” The evidence says the opposite: the market is doing the analysis, and the arithmetic largely checks out.

Why we might have edge

- **The decomposition itself.** Restating results in volume-vs-luck terms (drop and hold, not headline revenue) is the correct lens and most headlines don't use it. It flipped our own thesis; it will also tell us faster than consensus whether Q2 is a real inflection.
- **The leverage cuts both ways.** The same arithmetic that produced -73% produces violent upside on a genuine volume recovery. A confirmed volume-led beat re-rates the stub hard.
- **The renewal option is not zero.** The bear's "terminal clock" is real, but the 2022 retender retained every incumbent on painful-but-survivable terms. The refinanced notes (mature 2031, before license expiry) also remove any near-term bankruptcy cliff.
- **We have a precise, pre-committed re-entry gate** derived from the company's own numbers, so we can act on the print faster than a market re-reading headline revenue.

Why it might be priced in

- Everything decisive here is public: the drop decline is printed in the company's own Q1 release, one fetch away — our red bench missed it and the blue bench found it, which means sell-side desks can find it too.
- The sell-side is already cutting estimates; the de-rate reflects analysis, not abandonment. There is no orphaned-flow discount to harvest.
- The stock is +15% off its 52-week low. Buying here is buying a bounce, not a dislocation.
- The 2032 license fork is well known and structurally unpriceable by us — no reason to believe we handicap the government's terms better than anyone else.

What we checked ourselves

Claim	How checked	Found	Confirmed?
"Q1 earnings +14.5% with no damage visible" (our original brief)	Pulled the Q1 2026 earnings release directly (primary)	Mass table volume fell 2.4% while the market grew ~7%; the entire beat was a 36.9%-vs-32.8% luck swing. Damage is present, masked.	REFUTED — our own flagship claim
Red bench's "-18% luck-adjusted" haircut	Blue bench reworked the cost assumption	Red treated all costs as fixed; Macau's 40% gaming tax is variable, so true flow-through is ~55-60%. Correct figure ≈ -13% . Both benches (and the brief) shared this inflated sensitivity.	CORRECTED — bench error; direction stands
"~\$155M of freely tradeable stock" (our brief)	FY2025 annual report share tables (20-F)	Only ~124.6M of 770.4M Class A shares are in tradeable ADS form ≈ \$56M at \$1.81 — a third of claimed. Exact count not re-verified (SEC returned 403 to both benches; the secondary source is internally inconsistent).	PARTIALLY — float far smaller; exact number open
Market cap and share count	Arithmetic on the Aug-10 stockanalysis pull	$\$348.6M = 770.35M \text{ Class A} \times \1.81 exactly; the 72.5M exchangeable Class B interest is excluded, so enterprise value is understated ~\$33M. Our brief never pulled the cap table.	CONFIRMED

Claim	How checked	Found	Confirmed?
“Bond market validates the equity” (6.125% refi)	Maturity vs license dates	Notes mature 2031 , inside the license ending 2032-12-31 , and are secured — they carry ~zero information about post-2032 equity value. They do rule out a near-term default cliff.	REFUTED as equity evidence
“Sell-off is flow, not analysis”	Searched sell-side actions	MS/Jefferies/CLSA all cut or trimmed 2026 estimates; the drawdown is levered-stub arithmetic on those cuts.	REFUTED (mechanism itself confirmed)
Terminal-clock math	Arithmetic + 2022 retender history	~6.4 yrs of cash earnings $\approx$ net debt; equity is mostly a renewal option — but the 2022 retender kept all incumbents, so option value > 0 . Severity downgraded from fatal to sizing.	CONFIRMED
Aug-13 earnings date	Company press release Aug 7 (matches the Aug-7 SEC filing in the pack)	Date confirmed. Buying 3 days ahead is a coin flip against our own stop: the central case now straddles our \$65M cut-tripwire.	CONFIRMED
Live price \$1.81	Evidence pack + Aug-10 stockanalysis pull	Consistent across both. Both benches were blocked from live broker data this session — average daily volume never verified.	PARTIALLY — liquidity is a coverage gap

Bench errors, stated plainly: the original brief got its flagship metric, its float, and its credit-validation argument wrong; the red bench overstated the luck haircut and missed the single decisive fact (the volume decline) that was one fetch away; both benches inherited the brief’s inflated earnings-sensitivity; neither bench could verify tradeable liquidity.

PROPOSED ENTRY BANDS

The court’s answer is no-entry. No shares, no resting orders into the 2026-08-13 print. Reopen conditions instead:

- **Reopen gate (all three must print together in Q2):** Adjusted EBITDA $\geq$ **\$76M**, mass hold $\leq$ **34.5%**, and mass drop $\geq$ **\$958.2M** (i.e., real volume growth, not luck). Plus one execution condition: verified ADS trading of $\geq$ **\$2M/day**.
- **If the gate passes:** buy after the print at whatever price the market gives — the benches deliberately set no pre-print price target, because a passing print changes the fair band. Starter size only; the benches did not fix a percentage, so we propose $\leq$ **0.5% of book**, further capped so the position is buyable/exitable within a small fraction of verified daily ADS volume (the ~\$56M ADS pool, not total shares, is the exit door). Subject to adjudication.
- **Kill condition:** if Q2 shows mass drop down year-over-year again, kill the name entirely — a shrinking-volume equity at 6.4x leverage is not worth holding for the 2032 license fork.
- **Catalyst dates:** 2026-08-13 (Q2 earnings — the decidable event); annual 20-F (~April 2027) — the only window on the parent-company fee split, our undetectable-in-real-time exit tripwire; 2032-12-31 (license expiry — the terminal fork).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.57 (deck-provisional: break of the 52-week low invalidates the buying-the-bounce premise — triggers re-look, not auto-buy)
- filing watch: 6-K until 2027-02-06 (deck-provisional: Q2 print: extract Adj EBITDA / mass hold / mass drop and evaluate the reopen gate ($\geq 76M$ / $\leq 34.5\%$ / $>$))
- dated pack MSC|2026-08-13: MSC: Q2 2026 earnings — the decidable event; reopen gate evaluated here (date confirmed=True)
- dated pack MSC|2032-12-31: MSC: Macau gaming concession expiry — terminal fork for the equity (date confirmed=True)

What remains unverified

- **Exact ADS-form share count** (124,596,560 claimed): SEC blocked direct retrieval for both benches; the secondary source contradicts itself. Order-of-magnitude (\$56M vs \$155M) is solid; the precise figure is not.
- **Average daily traded volume:** live broker data was permission-blocked for both benches all session. The \$2M/day reopen condition cannot currently be evaluated — this must be pulled before any post-print buy.
- **The ~34% “normal” hold assumption** underpinning the luck adjustment: reasonable for the property class, but not derived from a multi-year MSC-specific series.
- **Related-party fee-split trajectory:** only observable annually in the 20-F; between filings we are blind to it.
- **2032 renewal terms:** structurally unverifiable by anyone today; treated as an option, not a forecast.
- **Ledger and entry-plan updates** are outstanding (dashboard unreachable from the court sandbox) — to be executed at adjudication alongside sensor arming.

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